

Instructor Guide

Lesson Metadata

Field	Detail
Path	Digital Independence Path
Course	17 — Skills That Pay
Lesson	4 — Pricing, Scope, and Agreements
Age Range	15–18
Format	Live, instructor-led (video classroom)
Duration	60 minutes
Tools Used	Google Docs, Canva, Notion, Email, Spreadsheets
Prerequisite	Lesson 3 — student has a defined service package (service description, deliverables, and target client)
Class Size	Best for 4–12 students; works one-to-one

Overview

By Lesson 3, each student has a service package — something like "I design simple logos for small local businesses" or "I build basic websites for school clubs." This lesson answers the two questions every student asks next: **"What do I charge?"** and **"How do we agree on what I'm doing?"**

Students learn two beginner pricing methods (flat rate and hourly), why price and scope are two sides of the same coin, and how to write a clear, simple agreement. Woven through the whole lesson — and stated outright, more than once — is a distinction students must leave with:

A written agreement between two people is a great tool for clarity. It is **not automatically a legally binding contract**. Real legal contracts depend on things like legal capacity (age of majority in most places), consideration, and other jurisdiction-specific rules — topics for a law class, not this one. If a student is going to do **real, paid** client work, a parent or guardian should know about it and be involved.

This is not a footnote. It is a core learning objective of this lesson.

Learning Objectives

By the end of this lesson, students will be able to: 1. Explain the difference between flat-rate and hourly pricing, and pick one for their own service package. 2. Explain why scope (what's included) and price must be decided together — and what "scope creep" means. 3. Estimate a simple, reasonable price for a small project using a basic calculation. 4. Explain, in their own words, why a written agreement between students is useful but is **not** the same thing as a legally binding contract. 5. Explain why real paid work should involve a parent/guardian. 6. Draft a simple, clearly-labeled educational agreement for a simulated client project.

Prep (Before Class)

- Review each student's Lesson 3 service package (pulled from their Notion workspace) so you can reference it by name during the live demo.
- Open a blank Google Doc to model the live pricing demo.
- Open Canva only if you plan to show the worksheet's checklist as a visual reference — optional, not required.
- Have the Worksheet and Student Lesson files ready to share/screen-share.
- Reread the "Common Misconceptions" section below — this lesson runs on getting ahead of two specific wrong ideas.
- Decide on one "reference hourly rate" range you'll use in the live demo (suggested: \$10–\$20/hour equivalent value, framed as "a reasonable beginner reference point," not a rule).

Materials Needed

- Student's Lesson 3 service package (Notion)
- Instructor demo doc (Google Docs)
- Spreadsheet template with a simple formula (hours × rate = suggested price)
- Worksheet (this lesson's companion file)
- Email — only referenced conceptually today (used more in Lesson 5); no live send required

Teaching Sequence (60 minutes)

1. Warm-Up & Hook (5 min)

Ask: "If a friend asked you to help them for an afternoon, would you charge them the same as a stranger paying you for a full week of work?" Let 2–3 students answer. Land on: price depends on time, effort, and what's included — that's what today is about.

2. Flat Rate vs. Hourly, Explained Simply (10 min)

- **Flat rate:** one total price for the whole job, agreed before starting. Good when the job is small and well-defined (e.g., "design one logo" = \$40 flat).

- **Hourly rate:** a price per hour worked, tracked and totaled at the end. Good when the job's length is uncertain (e.g., "help me practice my website" = \$12/hour).
- Talking point: "Flat rate is simpler for small, clear jobs. Hourly is fairer when nobody knows exactly how long something will take."
- Ask: "Which fits your Lesson 3 service package better, and why?" Cold-call 2 students.

3. Scope and Price Are Linked (8 min)

- Define **scope**: exactly what is included in the job — and, just as important, what is *not* included.
- Define **scope creep**: when a client keeps asking for "just one more thing" without adjusting the price or timeline.
- Talking point: "If you don't write down what's included, you can't say no to extra requests without feeling awkward. A clear scope protects both people — it's not about being difficult, it's about being clear."
- Quick example: "I'll design one logo with two revision rounds" is scoped. "I'll design your logo" is not — what if they ask for 10 versions?

4. Live Demo — Pricing a Fictional Student's Package (12 min)

Model this out loud in the Google Doc, using a fictional student, **"Priya," who offers Instagram graphic design for small clubs:**

1. Write the scoped job: "3 social media graphics, 1 revision round each, delivered as PNG files, done within 5 days."
2. Estimate time honestly: "Designing one graphic + one revision realistically takes about 1 hour for a beginner. Three graphics = about 3 hours."
3. Introduce the reference hourly rate: "Let's use \$12/hour as a reasonable beginner reference point — not a rule, just a starting point to reason from."
4. Do the math out loud in the spreadsheet: $3 \text{ hours} \times \$12/\text{hour} = \36 , then round to a clean flat-rate quote of **\$35 flat** for the whole package.
5. Talking point: "Notice I did the hourly math *first*, then turned it into a flat rate to quote. That's a completely normal and common beginner method — estimate hours, multiply by a reference rate, then decide how to present the number to the client."
6. Explicitly say: "This number is a starting estimate, not a fixed rule. Your price can depend on your experience, your local market, and what feels fair to you and the client."

5. CRITICAL SEGMENT — Agreements vs. Legal Contracts (15 min)

This is the anchor of the lesson. Do not rush it.

- Start plainly: **"We are about to write something down with a client. I need to be very clear about what that piece of paper actually is — and isn't."**
- Explain what a simple written agreement (or template) *is good for*:
- Making sure both people understand the same thing (scope, price, deadline).

- Creating a paper trail — something to point back to if there's confusion later ("didn't we agree on 3 graphics, not 5?").
- Practicing a real professional skill used by adults in every freelance and business relationship.
- State explicitly, slowly, and more than once: **"A generic template, or a simple agreement two students write and sign, is NOT automatically a legally binding contract. Just because something is written down and signed does not make it legally enforceable."**
- Explain — simply, without legal jargon — what actually makes something a real, legally binding contract, and that this varies by location:
- **Capacity to contract:** in most places, there are rules about the age (often the age of majority) and legal ability required to enter into a binding contract — this can affect minors specifically.
- **Consideration:** something of value has to be exchanged in a legally recognized way.
- Other legal requirements exist too, and they differ by country and state/province. **"That's a whole area of law — it's beyond what we're covering today, and it's not something you need to master to do great beginner client work."**
- Land the key contrast clearly:
- *Meaningful agreement (what we're practicing today)* = clarity + mutual understanding + a paper trail.
- *Real legal contract* = a separate, more serious legal category with requirements that vary by jurisdiction.
- **Parent/guardian point, stated directly:** "If you're going to do real client work and get paid actual money, a parent or guardian should know about it and be involved — helping you handle payment, communicating with the client if needed, and making sure everything is safe and appropriate. That's not us being overly cautious — that's just how real paid work should work for someone your age."
- Ask the class directly: "Why might it matter that a parent or guardian is aware, even if you're the one doing the work?" Take 2–3 answers before moving on.

6. Guided Activity — Draft the Worksheet Agreement (8 min)

Students open the Worksheet and fill in the pricing calculator and the agreement template for their own Lesson 3 service package, using a simulated client (a made-up name, not a real transaction). Circulate (or use breakout awareness on video) to check that: - The disclaimer at the top of their agreement is intact, not deleted. - Their scope line is specific, not vague ("logo design" → "one logo, two revisions, PNG + JPG files").

7. Wrap-Up & Lesson Close (2 min)

Recap in one line each: - "Price and scope go together." - "A written agreement helps everyone stay clear — it is not a legal contract." - "Real paid work involves a parent or guardian." Preview Lesson 5: sending a professional first message to a (simulated) client.

Discussion Questions

1. Why might a flat rate feel riskier for you as the service provider than an hourly rate?
2. What's one way a vague scope could lead to a disagreement later?

3. If a written agreement isn't a legal contract, why bother writing one at all?
4. What's the difference between "this document helps us stay clear" and "this document is legally enforceable"?
5. Who is one adult you'd want to loop in if you actually got paid for a project like this?

Common Misconceptions (Address Directly)

- **"If we both sign a written agreement, it's a legal contract."** — False. Signing and writing something down makes it clear and organized; it does not by itself make it legally binding. Legal enforceability depends on separate rules (capacity, consideration, jurisdiction) not covered in this lesson.
- **"I should charge as little as possible to get any client."** — Address directly: charging too little undervalues real time and effort, can attract clients who don't respect the work, and makes it harder to raise prices later. A fair, honestly-estimated price is a professional skill, not something to feel guilty about.
- **"Since it's not a real contract, the agreement doesn't matter."** — False. The agreement still matters a great deal for clarity and avoiding misunderstandings — it's just not a legal document.
- **"Hourly is always fairer than flat rate."** — Not necessarily; each fits different job types, which is why students are taught to choose based on scope certainty, not by default.

Anticipated Student Difficulties & Troubleshooting

Difficulty	What to do
Student estimates unrealistic time (e.g., "5 minutes" for a multi-part job)	Walk through the task's actual steps out loud with them to build a more honest time estimate.
Student wants to skip the disclaimer text in the worksheet template	Do not allow this — explain the disclaimer is a required, non-negotiable part of the document, not optional flavor text.
Student conflates "agreement" and "contract" during discussion	Gently redirect with the lesson's key phrase: "clear and organized ≠ legally binding." Repeat as many times as needed.
Student asks "so is this fake, then?" about the agreement	Clarify: it's real in the sense that it captures a real, meaningful understanding between two people — it's just not a law-enforceable legal contract. Both things can be true.
Student pushes back on the parent/guardian point ("but it's my project")	Validate ownership of the work, then reframe: guardian involvement is about safety and support for the money/communication side, not about taking over the creative work.

How to Review Student Work

Check each student's completed Worksheet for: - [] Pricing table filled in with a realistic hour estimate and a stated reference rate (not left blank or copied verbatim from the demo). - [] A clear, specific scope line (not vague). - [] The non-binding disclaimer at the top of the agreement section left fully intact and unedited. - [] A completed agreement

referencing their own Lesson 3 service package and a fictional client. - [] Verbal or written confirmation (in the reflection prompts) that the student can explain the agreement-vs-contract distinction in their own words.

If a student cannot restate the agreement-vs-contract distinction in their own words, revisit Section 5 with them one-on-one before moving to Lesson 5.

Lesson Close Script (Read Aloud or Paraphrase)

"Today you priced your first project and wrote your first client agreement — both real professional skills. Remember: that agreement is a great tool for staying clear with a client, but it's not a legal contract, and if you ever do real paid work, bring a parent or guardian into the loop. Next lesson, we'll write the message that gets this whole project started."